

Executive Summary

Analysts:

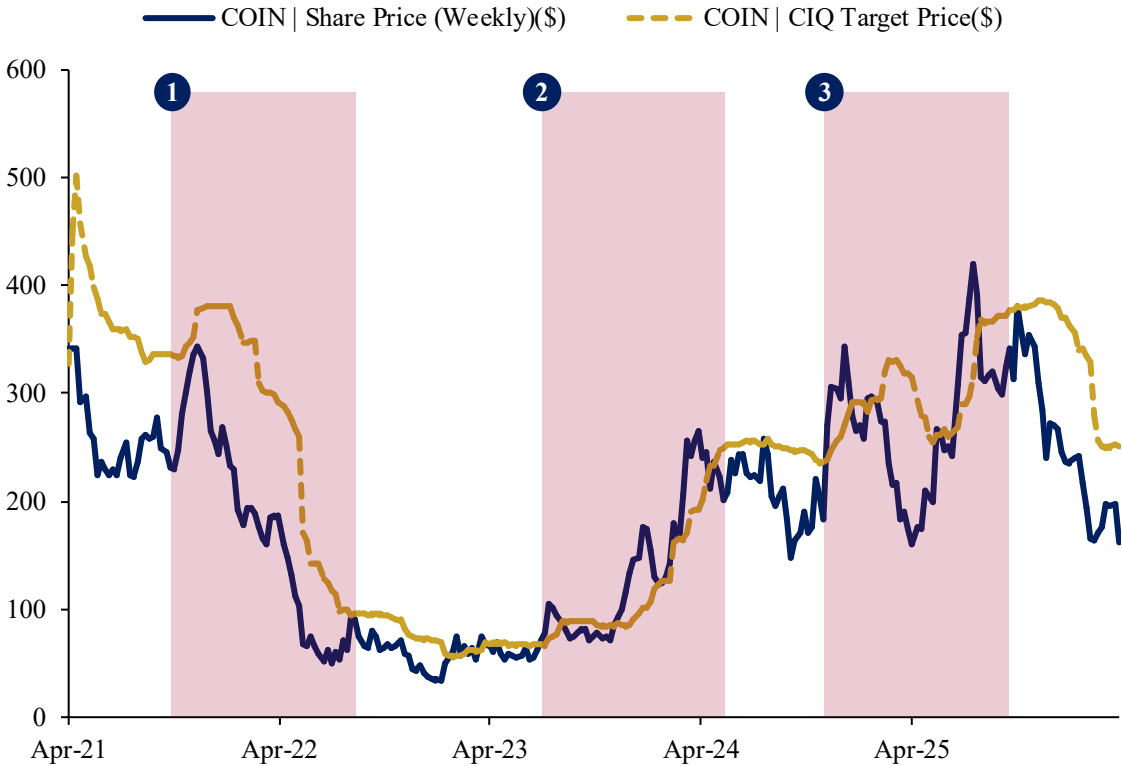
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Coinbase’s Past Performance vs Median Target Price



- 1

Crypto winter, persistent inflation caused central banks to end the easy money policies that had propelled crypto and equities to new heights. Consumers significantly reduced trading volumes and defaulted to holding.
- 2

SEC approval of 11 spot Bitcoin ETFs in the U.S., 8 of which partnered with Coinbase as custodian. Following the ETF approval, Coinbase’s Bitcoin market share surged from 47% to 60%.
- 3

Trump’s election victory represented a shift in the operating environment as it marked the end of SEC enforcement-led regulation, the prospect of stablecoin and market structure legislation and the removal of regulatory overhangs.

Where We Diverge From the Street...

Street’s View

Fee Erosion and Pricing Power Loss

Retail take rates compresses from 1.9% to 0.9% in FY30F

Capital Misallocation

OPEX +79.7% in FY25A, repeating FY21’s undisciplined spending cycle

Yield Prohibition

GENIUS Act threatens stablecoin-linked subscription revenue

Variant View

Mix Shift

Deliberate transition to advanced traders & Coinbase One subscribers with high LTV

Composition Differs

FY25A OPEX driven by Deribit acquisition, reducing development costs

TAM Expansion

GENIUS Act legitimizes stablecoins for institutions, market projected to grow 3–9x by 2028

Company Overview

Business Overview

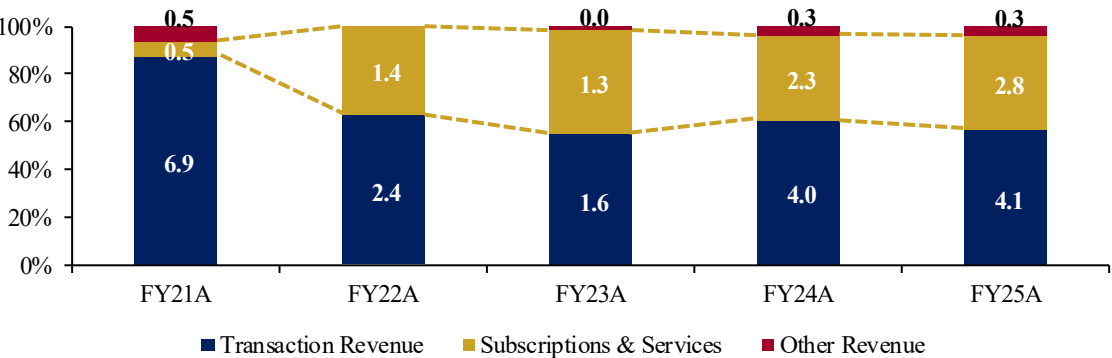
- Founded in 2012 by Brian Armstrong and Fred Ehrsam, Coinbase is one of the largest and most prominent crypto exchange platforms globally.
- The company operates a platform for crypto assets in the United States and internationally, providing the primary financial account in the crypto economy for consumers, a brokerage platform for institutions, and a suite of products for developers to build onchain.
- The Company’s long-term strategic ambition is to become a comprehensive platform for a broad suite of blockchain-based financial services.

Key Products & Platforms



Revenue Mix

Revenue Split by Category (US\$B)

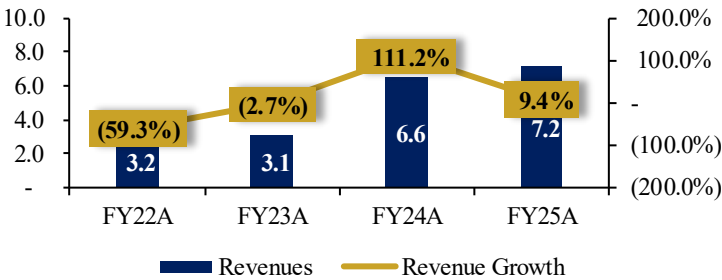


Source: Company Fillings

Coinbase’s **strategic shift** towards subscriptions & services revenues acts as a **hedge** against the **existential volatility** of the cryptocurrency market.

Historical Revenues

Revenues (US\$B) & Growth Rates

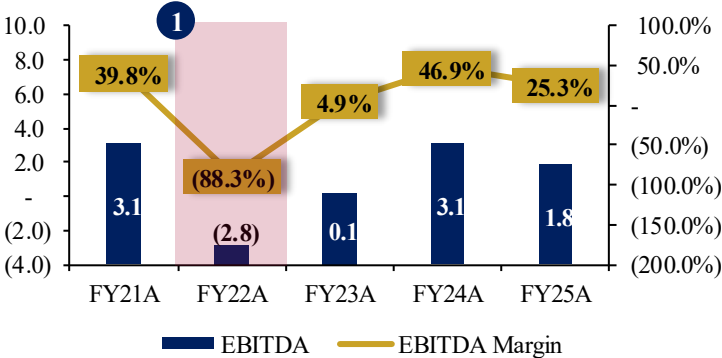


Source: Company Fillings

Coinbase's revenue has followed crypto market cycles closely, collapsing during the 2022-23 bear market before **rebounding sharply** on post-ETF and post-election tailwinds.

Solid Margins

EBITDA (US\$B) & EBITDA Margins

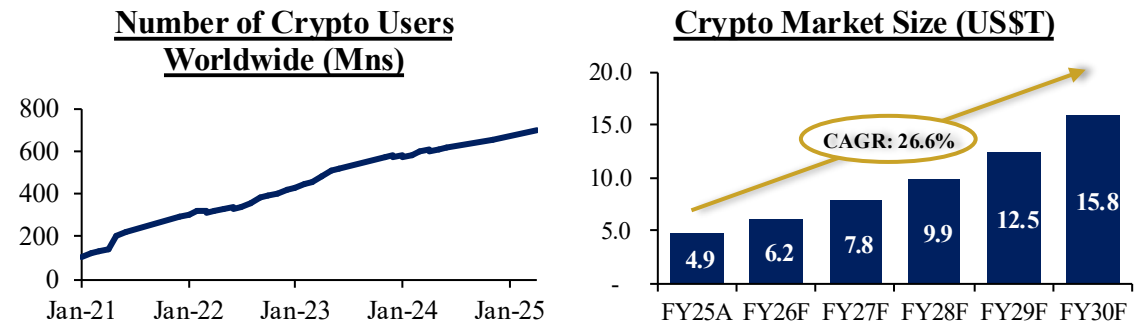


Source: Company Fillings

Coinbase has **exceptionally high gross margins**, due to the fundamental nature of the digital marketplace business, with its **main cost driver** being **operating expenses**.

Industry Overview

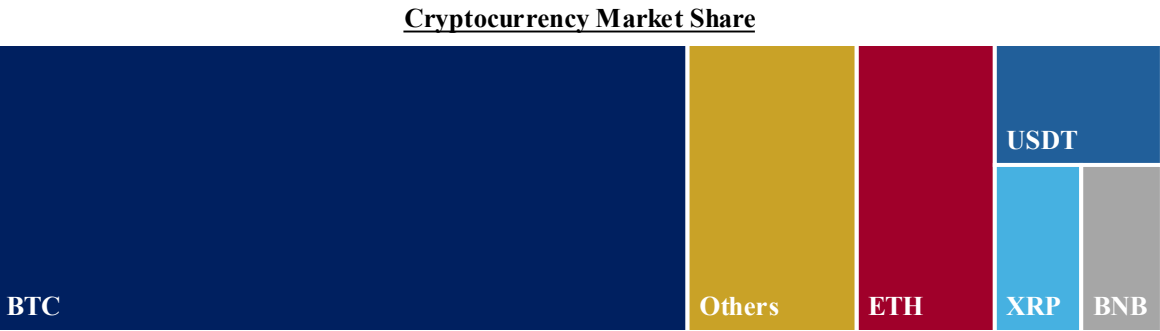
The Cryptocurrency Market is Experiencing Rapid Growth...



Source: Mordor Intelligence, Statista

The crypto market has seen rapid historical adoption and is expected to grow **robustly** over the next 5 years.

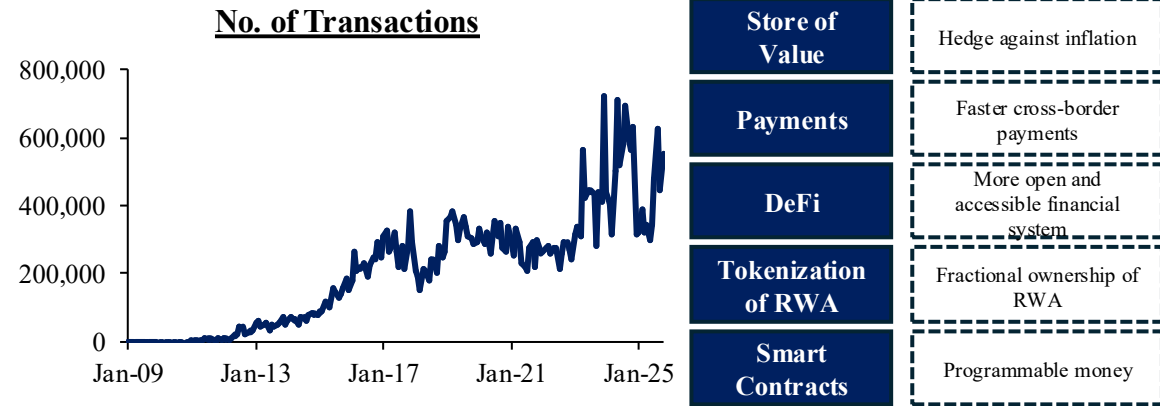
...Spearheaded by Increasing Bitcoin Adoption...



Source: Statista

Bitcoin dominates the cryptocurrency market with **~60% market share** and is expected to grow at a **26.2% CAGR** over the next 5 years.

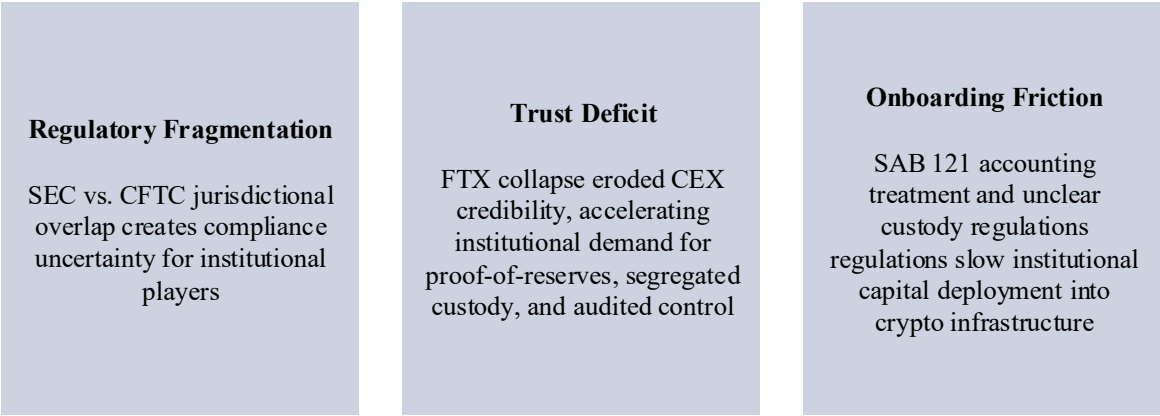
...Which Sees Increasing Numbers of Use Cases...



Source: Statista

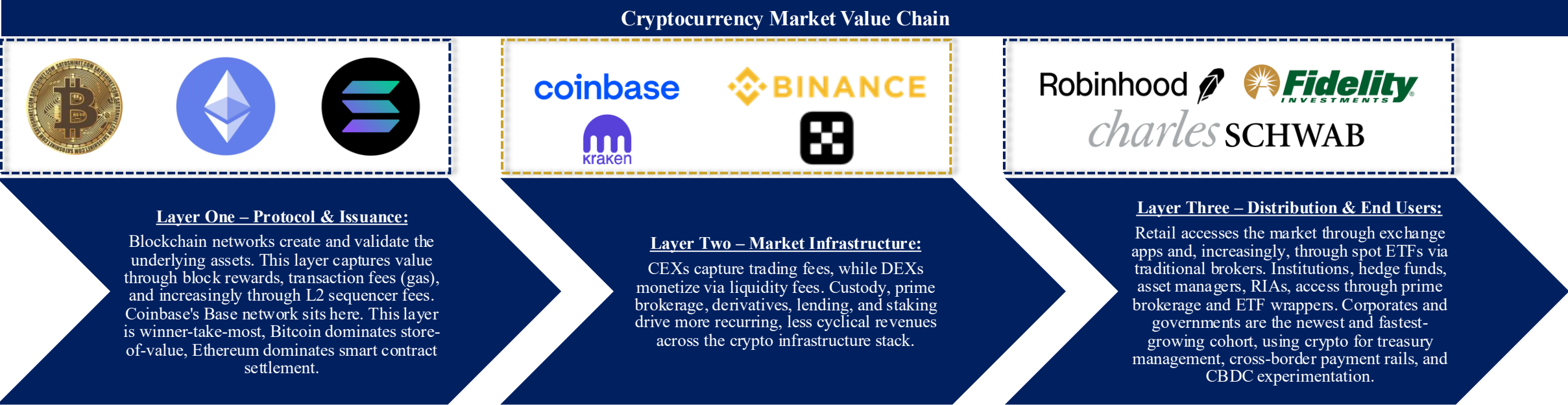
Expanding use cases across payments, DeFi, and tokenisation are driving functional adoption, supporting sustained growth and positioning crypto as **core financial infrastructure**.

...But Structural Barriers Constrain Institutional Scale



These structural headwinds reinforce the competitive moat of **compliance-first platforms**, reshaping the market in favour of regulated incumbents

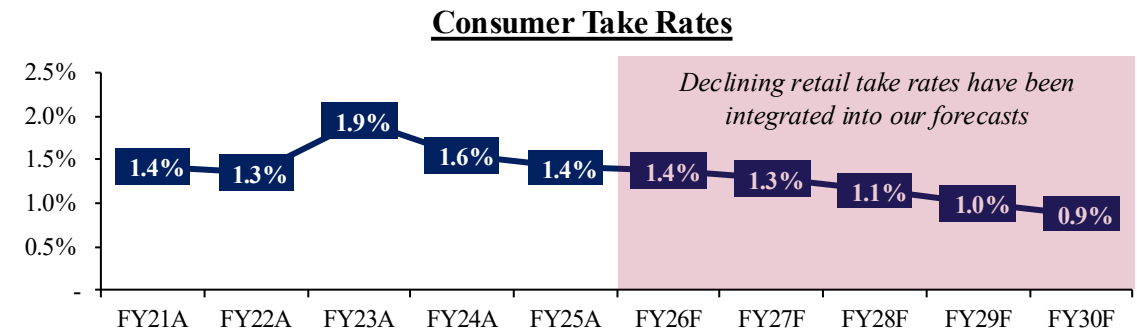
A Market Plagued by Regulatory Overheads		
Exchange	Fine Amounts	Reasons
coinbase	~US\$131M	Fined due to compliance failures lagging rapid growth, leading to over 100,000 unreviewed alerts and delayed reporting, with similar AML deficiencies found across its international subsidiaries.
BINANCE	~US\$4,300M	Operated an unregistered money-transmitting business, facilitated transactions in sanctioned jurisdictions, failed to report suspicious activity, and prioritised growth over compliance, resulting in criminal guilty pleas by both the company and its founder CZ..
kraken	~US\$37M	Fined across multiple actions for offering unregistered products, inadequate sanctions controls, and misleading regulators, reflecting aggressive expansion ahead of compliance rather than a single systemic failure.
	~US\$505M	Fined for years of AML violations, facilitating over \$5bn in illicit transactions, failing to register with the US Treasury, and actively helping US users bypass KYC controls.



Product / Feature	coinbase	 BINANCE	 kraken	 GEMINI
Core Trading				
Spot Trading	✓	✓	✓	✓
Futures Trading	✓	✓	✓	Limited
Margin Trading	✓	✓	✓	✓
Maker / Taker Fees	0.40% / 0.60%	0.10% / 0.10%	0.25% / 0.40%	0.00% / 0.40%
Institutional Services				
Prime Brokerage	✓	Partial	✓	Limited
Institutional Custody	✓	Limited	✓	✓
OTC / Block Trading	✓	✓	✓	✓
ETF Custodian	✓	✗	✗	✗
Subscription & Yield				
Staking	✓	✓	✓	✓
Subscription Product	✓	✗	✓	✗
Earn / Yield Products	Limited (US)	✓	✓	Limited
Blockchain Infrastructure				
Proprietary L2 Network	✓	✓	✗	✗
Native Stablecoin	✓	✓	✗	✓
Web3 / DeFi Wallet	✓	✓	✗	✗
NFT Marketplace	Discontinued	✓	✗	✗

Investment Thesis

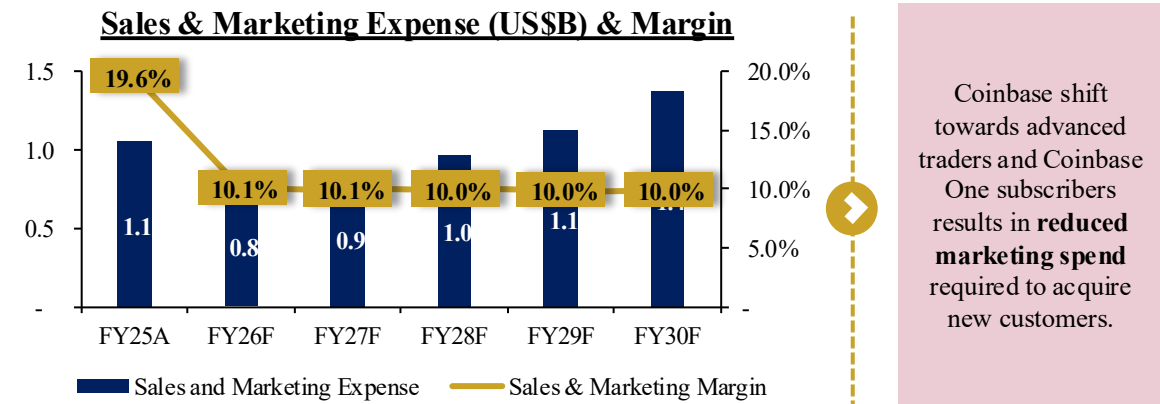
The Street Fears Coinbase’s Compressing Take Rates...



Source: Company Filings, Team Analysis

The Street has flagged up Coinbase’s **declining retail take rate** as evidence of **structural fee erosion**, making the implicit assumption that Coinbase **revenue quality** is declining.

...Resulting in Incremental OPEX Savings...



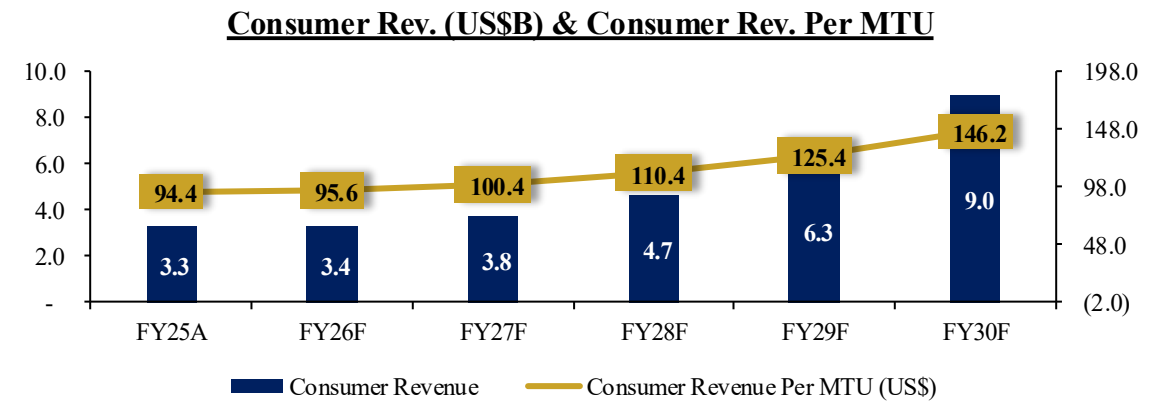
Source: Company Filings, Team Analysis

Reduced OPEX results in increasing profitability for the Company, allowing it to **reinvest** in new services or make **strategic acquisitions**.

...However, Coinbase is Shifting to Consumers With Higher LTV...

Customer:	Simple Trader	Advanced Trader	Coinbase One Subscriber
Fees	Highest	Low	Zero
Market Dependency	Highest	Low	Lowest
Acquisition Cost	Highest	Low	Lowest
Lifetime Value (LTV)	Lowest	High	Highest
Churn Rate	Highest	Low	Lowest
Trading Volume	Low	High	Dependent

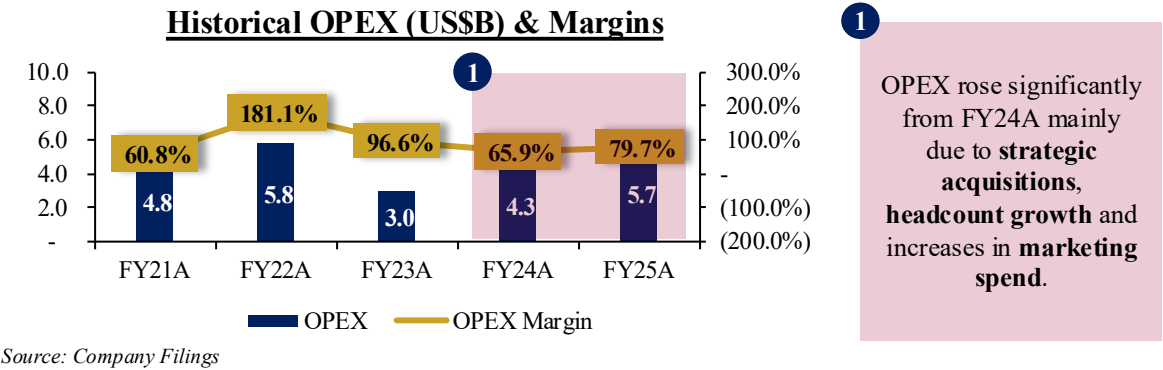
...Alongside Improvements in the Company’s Unit Economics



Source: Company Filings, Team Analysis

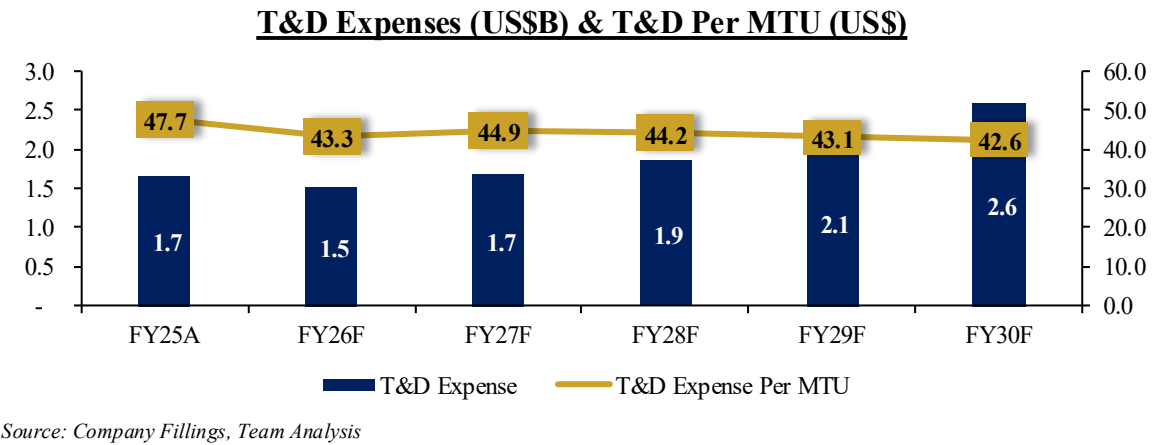
Increasing volume of advanced traders and Coinbase One subscribers **increases trade frequency** and **monetization per user** in the long-run, driving **sustained consumer revenue growth**.

Coinbase Increasing OPEX has Sparked Concerns Over Frivolous Spending...



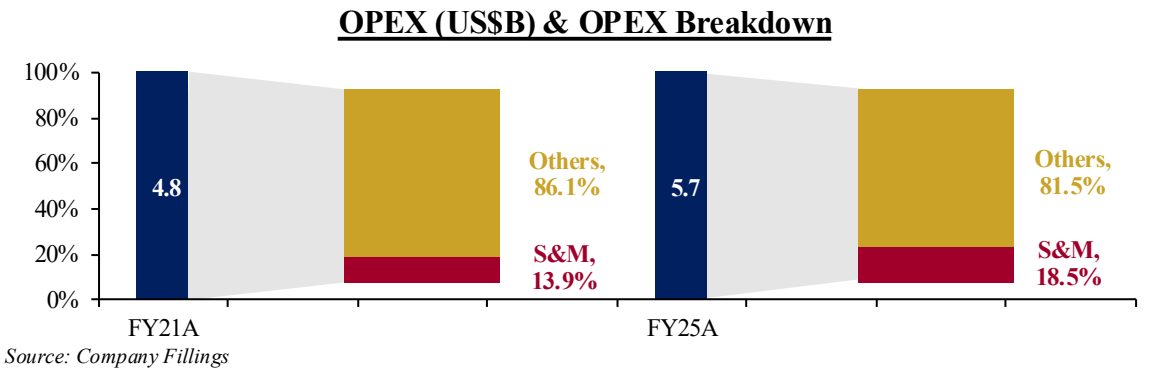
Coinbase’s rising OPEX has raised concerns regarding the nature of spending, with the Street framing it as a **repetition** of the capital misallocation of 2021.

...And With Acquisitions Further Reducing Development Costs...



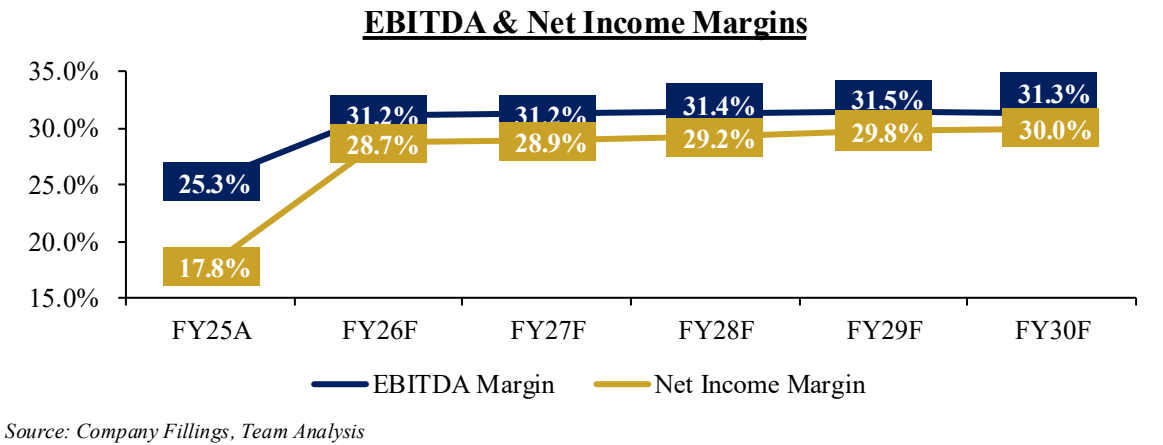
Economies of scale and **elimination of competition** allows Coinbase to save on long-term technology & development expenses.

...However the Composition of OPEX Differs Significantly...



Greater emphasis on recurring revenue Coinbase One subscribers increases **consumer LTV** in the long-run while **insulating** Coinbase from **crypto market cyclicality**.

...Resulting in Long-Term Margin Expansion



Rising profitability margins allows Coinbase to **return capital to shareholders**, which has already been done historically when Coinbase has strong margins.

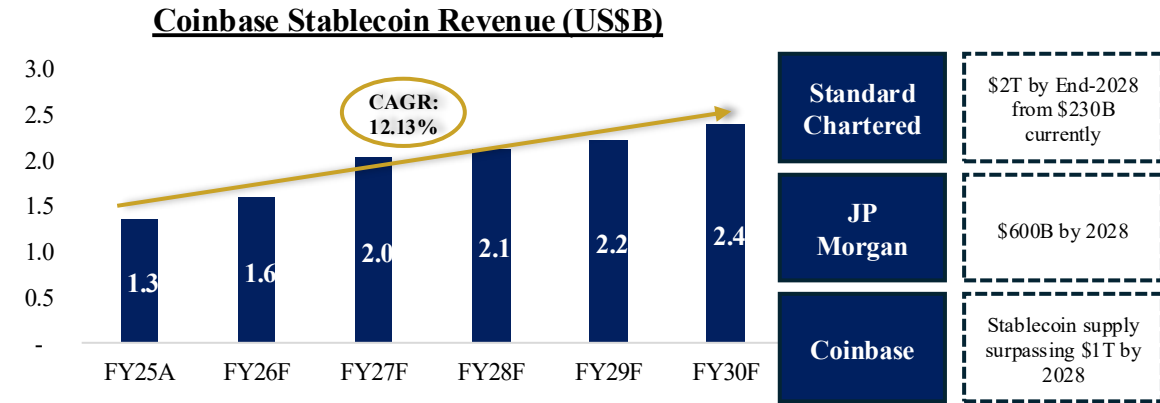
The Market Fears the GENIUS Act’s Implications on Coinbase...

What is the GENIUS act?
U.S. federal regulatory framework for payment stablecoins, authorizing specific, regulated issuers to offer stablecoins backed by high-quality reserves, aiming to enhance consumer protection and integrate digital assets into the financial system.

Source: Company Filings

The **prohibition** on stablecoin issuers paying interest or yield to holders resulted in firms like Goldman Sachs **cutting** Coinbase’s 2026 & 27 subscription revenue by **21% & 16%** respectively.

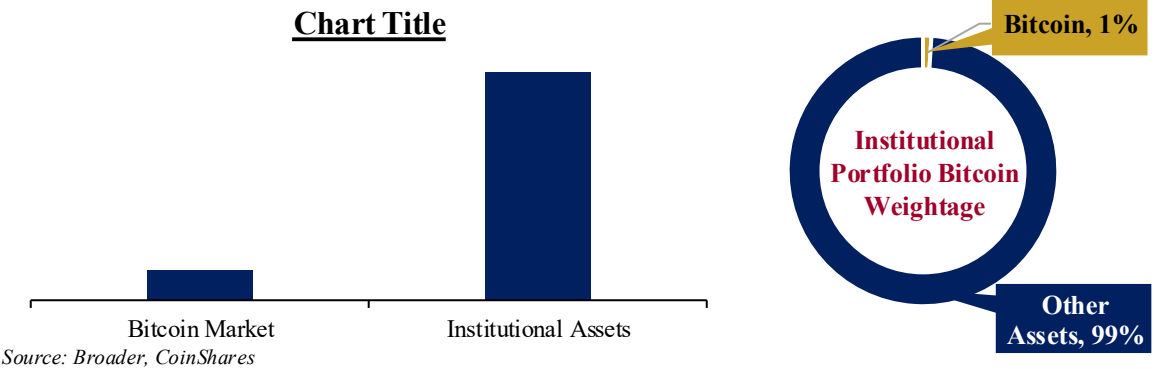
...Unlocking Stablecoin as a Recurring Revenue Engine...



Source: CoinDesk, Company Fillings, Team Analysis

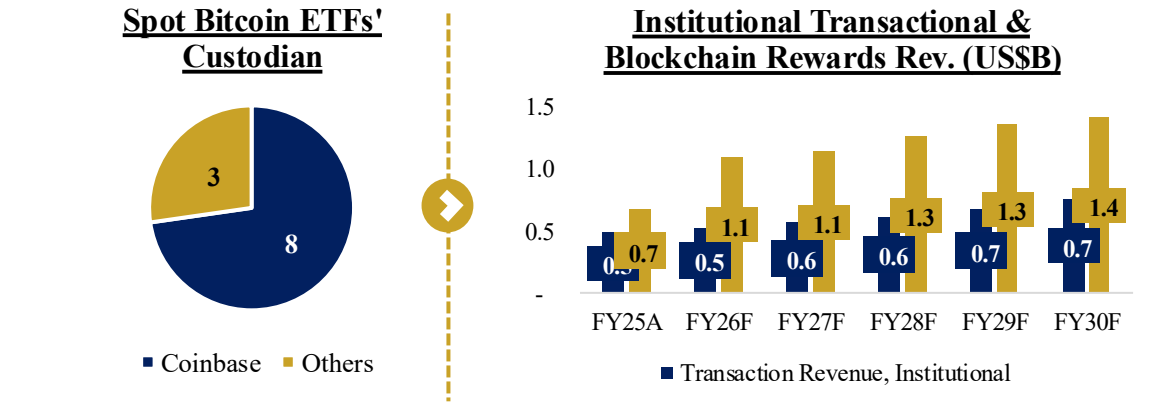
Stablecoin market is projected to grow **3-9x by 2028**, with USDC capturing **~25% market share**. Coinbase’s revenue-share structure with Circle converts this growth into **non-cyclical revenue**.

...However, the GENIUS Act Opens up a Massive Untapped Market...



The Act clarifies that payment stablecoins **aren’t securities** under US federal securities law, allowing **major financial institutions** to finally **engage meaningfully** with stablecoin infrastructure.

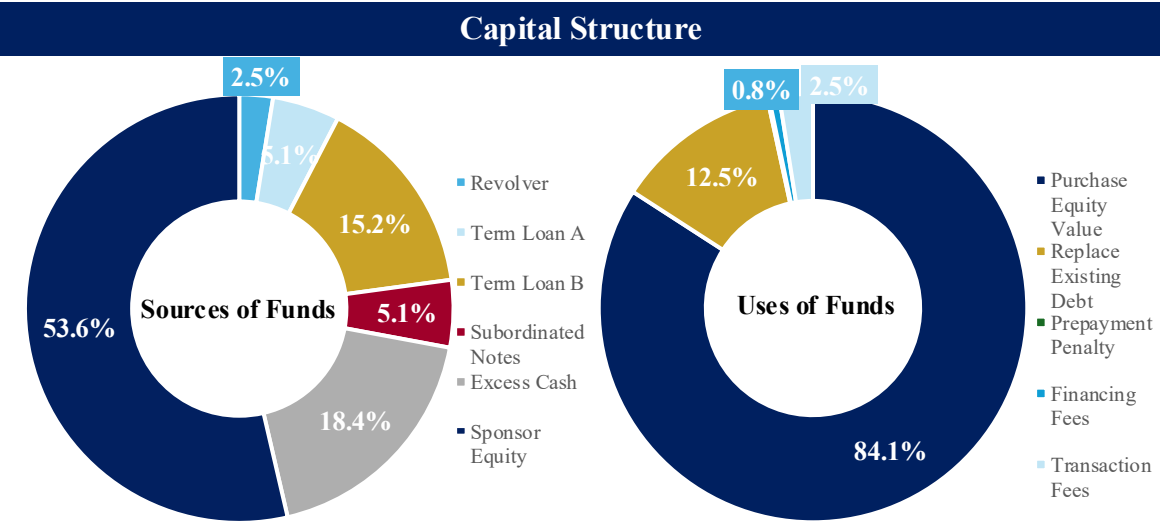
...Positioning Coinbase as the Regulated Gateway for Institutional Capital



Source: Company Filings, Team Analysis

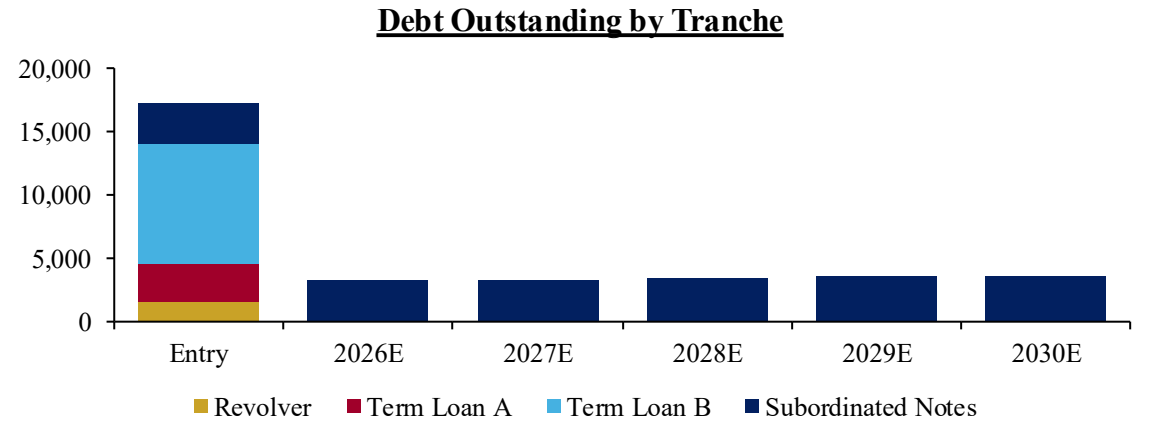
Coinbase custodies 8 of 11 US spot Bitcoin ETFs (~90% in AUM), anchoring **\$2.2B in institutional-adjacent revenue** (9.3% and 15.8% CAGR respectively) by FY30F across trading and staking.

Valuation

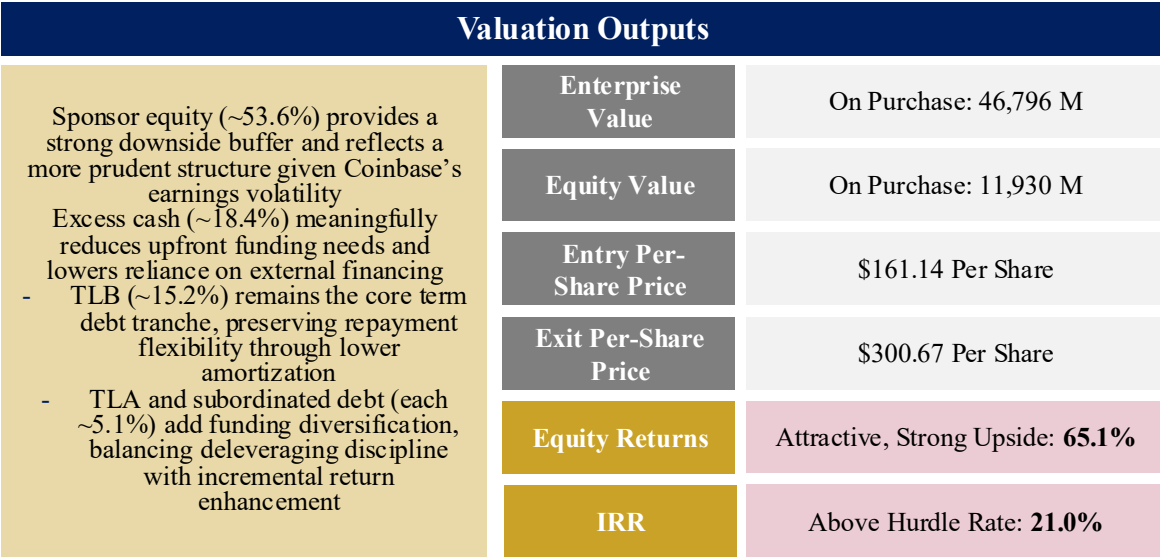


Source: Team Analysis

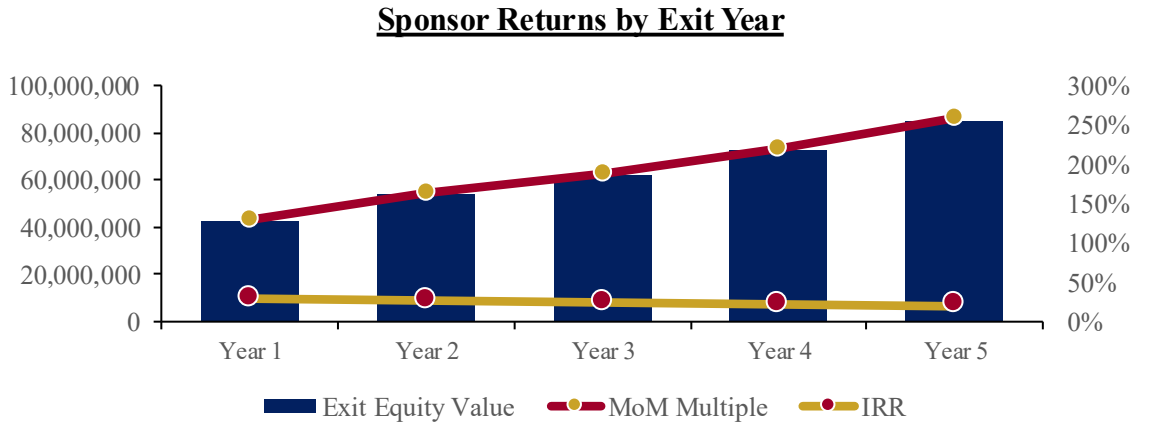
Debt Outstanding



Strong cash flow enables steady deleveraging across the holding period, with a TLB-heavy structure preserving flexibility through limited amortisation. As leverage declines, refinancing risk is reduced, strengthening the overall exit profile.

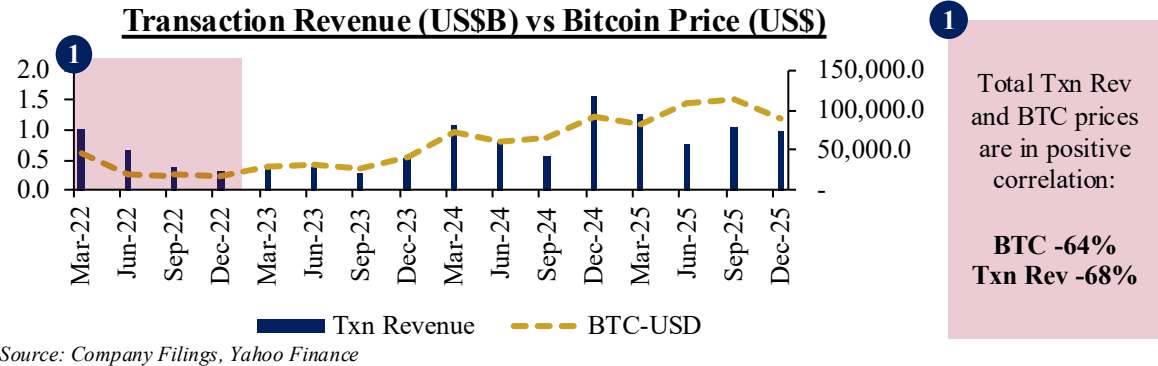


Sponsor Returns



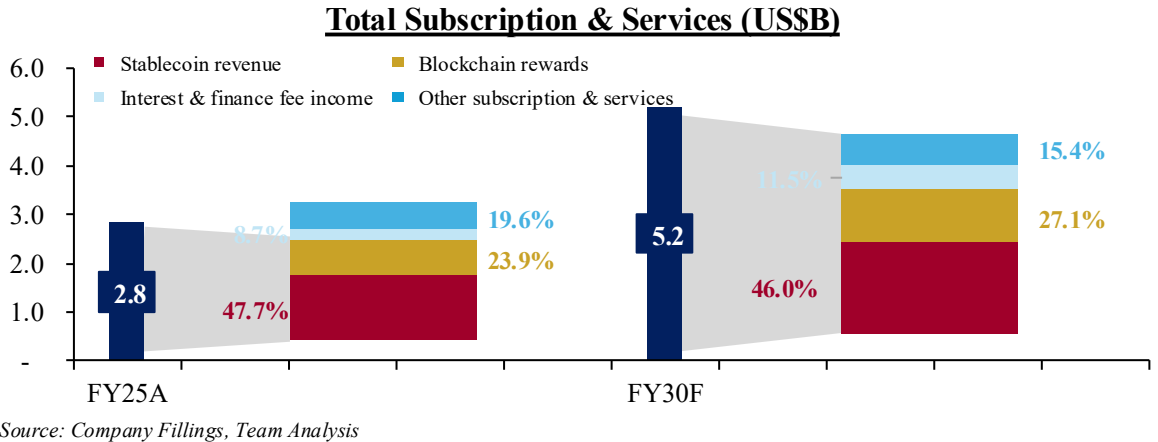
Equity value grows through EBITDA expansion and progressive deleveraging, with returns back-ended in line with typical LBO value realisation at exit. The investment delivers attractive IRR driven primarily by operational improvements rather than multiple expansion.

Coinbase’s Revenue is Held Hostage by Crypto Prices...



Total Transaction Revenue takes up 64.4% of COIN’s sales on average (FY21-FY25), exposing earnings to the volatility of coin price.

...Shifting the Revenue Mix from Cyclical Trading to Recurring Infra...



S&S revenue grows 83% to \$5.2B by FY30F. Subscription and AUM-based revenue lines — stablecoin (+77%), blockchain rewards (+108%) — replace per-trade dependency with recurring, price-independent income streams

...By Transitioning to Subscription & AUM-Based Pricing...

Action A: Consumer

Expand Coinbase One subscribers: Transition from a per-trade fee (0.40% / 0.60%) to a monthly subscription plus zero-fee model.

Action B: Institutional

Introduce a new fee structure: Implement a flat annual subscription combined with an Asset Under Management (AUM)-based custody fee for Prime/Advanced customers.

Action C: Staking & Yield

Transition: Shift staking revenue into AUM-based recurring fee, benchmarking competitors like Kiln (27%) and Figment (34%).

...A Model Already Validated by Financial Infrastructure Peers

Company \ Category	Service Category	Coinbase Equivalent	Fee Model
Bloomberg Terminal	Real-time market data, analytics, trading access	Coinbase Advanced / Prime	Flat annual subscription per seat
ICE (NYSE parent)	Exchange access + real-time market data feed	Coinbase Prime Institutional	Monthly flat fee per ID
CME Group	Futures & Options market data + Platform access	Coinbase Deribit	Per-user monthly data fee
Coinbase	Staking + Institutional trading + custody	-	Flat AUM fee + annual subscription

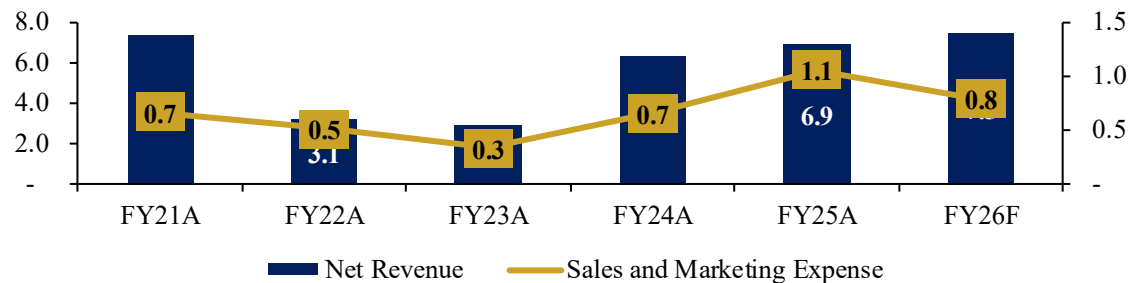
Coinbase operates identical infrastructure to Bloomberg, ICE, and CME but remains the only major platform monetising purely on a per-trade basis — the shift to subscription pricing closes this gap.

Value Creation Plan

Plan Two: Rationalize the Cost Structure That Public Markets Won't Allow

Coinbase Operates as a High-Cost Brokerage...

Net Revenue vs S&M Expense (US\$B)



Source: Company Filings

Coinbase has demonstrated an absence of operating leverage. In FY25, S&M expense surged +61.8% YoY while Net Revenue grew **only +9.4%**, suggesting Revenue is **not** driven by marketing spend.

...By Three-Lever OPEX Rationalization, OPEX/NR from 83.2% to 71.4%...

Action A: S&M

Eliminate redundant acquisition spend as the MTU growth from 35M (FY25) to 61M (FY30) is driven by crypto adoption and macro condition.

Action B: T&D

Terminate non-revenue generating NFT marketplace, dApps, and redirect budget to custody security, Prime trading infra, and Deribit PMI.

Action C: G&A

Implement cost discipline to contain G&A to ~25% of NR despite Deribit PMI integration and regulatory expansion. Under public ownership, G&A would balloon to 30%+ as management builds empire.

MTU growth is already driven by macro crypto adoption (Mordor Intelligence 26.5% CAGR, netted to 6.5% after brand discount), not by Coinbase's own S&M spend

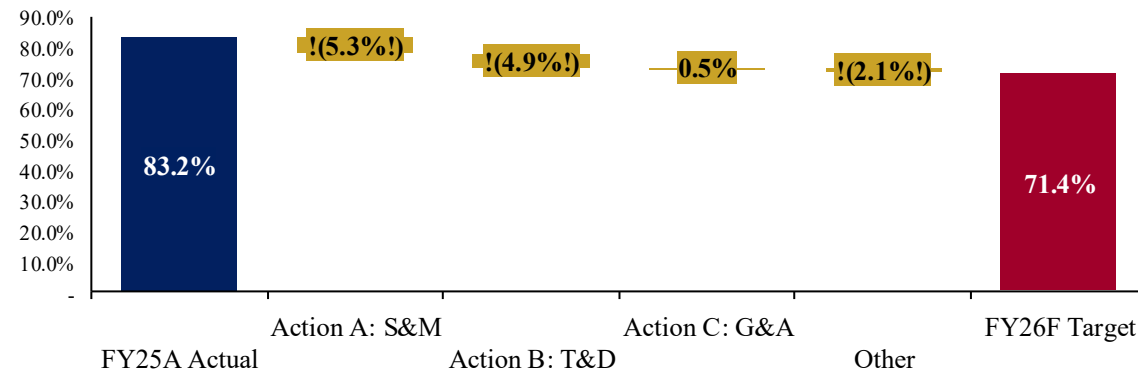
...And Public Markets Prevent the Restructuring, Only Take-Private Unlocks it...

- 1 Cutting **S&M expense 25%+** in FY26F will trigger analyst downgrade with the "growth story is over" narrative. Presenting **~\$300M S&M cut** on an earning call will damage the stock price
- 2 Quarterly EPS pressure from the public investors will prevent from **long-term implementations** as **restructuring charges and flat revenue** are expected.
- 3 G&A restructuring means visible layoffs and massive headlines, which will negatively affect the brand as Coinbase's user trust depends on stability narrative.

PE take-private removes all three simultaneously: no earning calls, no quarterly guidance, no stock price reaction, and holds through J-curve.

...Delivering 11.8pp Margin Expansion Only PE Can Execute

OPEX/NR Bridge: FY25A → FY26F (%)

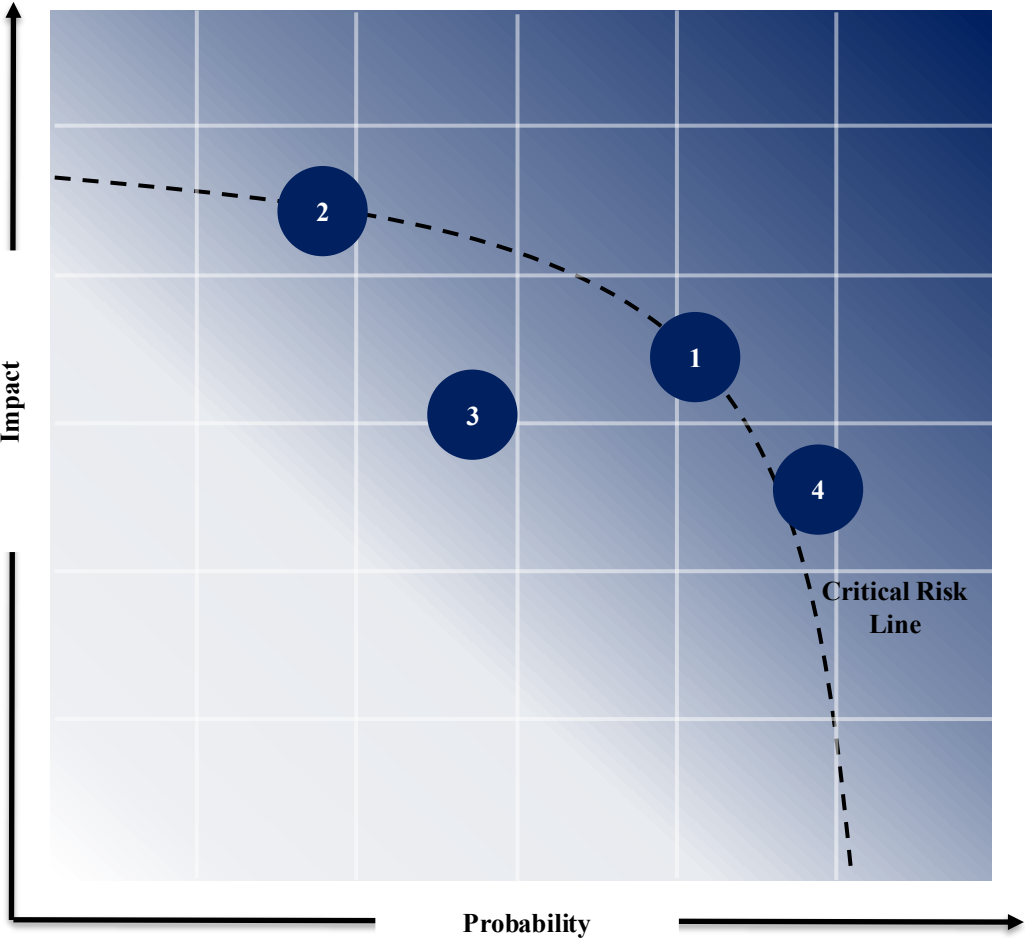


Source: Company Filings, Team Analysis

11.8pp margin expansion driven by **S&M discipline (-5.3pp)** and **T&D rationalization (-4.9pp)**, partially offset by G&A investment (+0.5pp).

Risks & Mitigants

As Shown in the Risk Heatmap...



Source: Team Analysis

...Which Can be Mitigated by These Methods...

Risks	Mitigants
1 Transaction revenue averages 64.4% of total revenue (FY21–FY25) , with a 0.96x log-return correlation to BTC price . FY22 precedent: BTC –64% → revenue –68% , EBITDA margin –88% .	Subscription & Services (S&S) provides a robust earnings floor. It covers 86.0% of fixed OPEX as of FY25A and is projected to cover 108.4% by FY26F, insulating debt repayments from trading volume drawdowns
2 A market downturn at the end of the holding period drives a " double whammy " of simultaneous earnings compression and exit multiple de-rating, compounding the impairment to levered equity returns	The 5 to 6-year holding period provides significant cycle timing optionality. The fund is not forced to sell in a bear market and can time the exit to align with post-election or post-ETF macro tailwinds.
3 While S&S provides recurring revenue, it is not entirely immune to market shocks; staking and custody fees still inherently remain linked to overall crypto AUM and network activity	S&S floor is partial , staking (\$677M) tied to ETH activity, stablecoin (\$1.35B) tied to USDC circulation. All S&S lines compress simultaneously in a downturn; diversification is intra-sector, not away from crypto.
4 The crypto market remains plagued by regulatory overheads , where compliance failures lagging behind rapid growth can lead to massive fines (as seen with competitors) or suspended operations	The GENIUS Act provides federal clarity for stablecoins, while Coinbase's pristine, institutional-grade compliance record acts as a massive competitive moat against offshore exchanges

Appendix

Appendix 1: LBO Model & Key Outputs

~21% IRR driven by EBITDA growth and deleveraging...

Transaction Assumptions:		Units:			
EBITDA Multiples:					
Entry TEV/ EBITDA Multiple:	x	15.0	Purchase Enterprise Value: \$ M \$46,796,370.00		
Exit TEV/ EBITDA Multiple:	x	15.0			
Enterprise Value:					
Entry TEV/ EBITDA Multiple:	x	15.0			
LTM EBITDA:	\$ M	3,119,758	(+) Cash & Investments: \$ M 11,929,535		
Enterprise Value:	\$ M	46,796,370			
Share Price:	\$ as Stated	\$161.14	(-) Debt: \$ M (7,658,724)		
Premium Paid:	%	13.0%			
Offer Price per Share:	\$ as Stated	\$182.15			
Diluted Share Count:	Thousand Shares	283,775.913			
Last Historical Year:	Date	31-Dec-2025			
			(-) Total Preferred Equity \$ M -		
Minimum Cash Balance:	%	5.0%	(-) In-the-Money Convertible Debt & Prefs \$ M -		
Initial Minimum Cash Balance	M Shares	596476.75			
US corporate tax rate	%	20.0%			
Revolving Credit Line (Maximum capacity)	%	50.0%			
Revenue	\$ M	7181325			
Revolving Credit Line (Maximum capacity)	\$ M	3590663	(-) Investments in Unconsolidated Subs \$ M 622,985		
			(-) Non-controlling Interest \$ M -		
			(-) Pension Liabilities \$ M -		
			Purchase Equity Value: \$ M ¥ 51,690,166		
			Purchase TEV / EBITDA Multiple: x 0.0 x		
</					

Source: Team Analysis

IRR	Units:	FY21A	FY22A	FY23A	FY24A	FY25A	FY26A	FY27A	FY28A	FY29A	FY30A
Numerical Year:	#						1	2	3	4	5
EBITDA:	\$ M						\$ 2,422,169	\$ 2,709,342	\$ 3,058,147	\$ 3,553,252	\$ 4,327,638
(x) Exit Multiple:	x						15.0 x	15.0 x	15.0 x	15.0 x	15.0 x
Exit Enterprise Value:	\$ M						36,332,528	40,640,129	45,872,200	53,298,783	64,914,574
(+) Cash & Cash Equivalents	\$ M						11,810,479	18,457,012	19,725,501	20,646,417	21,953,778
(-) Debt:	\$ M						(5,933,606)	(5,933,606)	(3,933,606)	(1,933,606)	(2,168,606)
(-) Total Preferred Equity	\$ M						-	-	-	-	-
(+) In-the-Money Convertible Debt & Prefs	\$ M						-	-	-	-	-
(+) Investments in Unconsolidated Subs	\$ M						622,985	622,985	622,985	622,985	622,985
(-) Non-controlling Interest	\$ M						-	-	-	-	-
(-) Pension Liabilities	\$ M						-	-	-	-	-
Exit Equity Value:	\$ M						42,832,387	53,786,520	62,287,080	72,634,579	85,322,730
Project-Level Returns:											
Multiple:	x						1.3 x	1.6 x	1.9 x	2.2 x	2.6 x
IRR:	%						30.0%	27.8%	23.6%	21.8%	21.0%
Exit Share Price:	\$									\$	300.67
Equity Returns	x										65.1%

Company	Country	Financial Overview (CY2025)			Margin in 2025			CAGR (2022-2025)			CAGR (2025-2028)		
		Revenue	EBITDA	Net Inc.	GP	EBITDA	Net Inc.	Revenue	EBITDA	Net Inc.	Revenue	EBITDA	Net Inc.
Gemini Space Station, Inc.	United States	180	(312)	(583)	8.2%	(173.9%)	(324.6%)	NA	NM	NA	36.4%	NA	NM
Bullish	Cayman Islands	237	(176)	(765)	100.0%	(74.1%)	(322.3%)	34.3%	NM	NM	11.4%	64.2%	16.2%
Circle Internet Group, Inc.	United States	2,747	(83)	(70)	23.6%	(3.0%)	(2.5%)	52.7%	NM	NA	29.3%	104.6%	70.9%
Robinhood Markets, Inc.	United States	4,473	NA	1,883	90.6%	NM	42.1%	48.8%	NM	45.2%	15.1%	67.8%	13.0%
Galaxy Digital Inc.	United States	61,356	60,124	(241)	100.0%	98.0%	(0.4%)	NA	NM	(61.9%)	27.2%	NA	NM
eToro Group Ltd.	Israel	13,701	NA	216	2.8%	NM	1.6%	29.8%	NM	NA	8.4%	64.1%	18.7%
Interactive Brokers Group, Inc.	United States	6,209	NA	984	90.7%	NM	15.8%	25.2%	NA	NA	11.0%	60.6%	19.8%

Company	Market Cap	Enterprise Value	Net Debt	Fiscal Year End	EV/Revenue			EV/EBITDA			Price/Earnings		
					2025A	2026F	2027F	2025A	2026F	2027F	2025A	2026F	2027F
Gemini Space Station, Inc.	519	900	381	Dec 2025	NA	NA	NA	NA	NA	NA	NM	NM	NM
Bullish	5,370	5,439	69	Dec 2025	NA	NA	NA	NA	NA	NA	NM	47.3x	34.1x
Circle Internet Group, Inc.	23,101	21,544	(1,489)	Dec 2025	7.8x	6.9x	5.0x	NM	34.4x	23.8x	NM	86.2x	40.5x
Robinhood Markets, Inc.	62,391	58,191	(418)	Dec 2025	13.0x	10.8x	9.3x	NA	18.9x	15.4x	33.1x	27.1x	23.4x
Galaxy Digital Inc.	3,555	6,999	3,376	Dec 2025	0.1x	0.1x	0.1x	0.1x	NA	12.7x	NM	NM	13.9x
eToro Group Ltd.	2,488	1,267	(1,073)	Dec 2025	0.1x	1.4x	1.2x	NA	3.7x	3.1x	11.5x	9.8x	8.0x
Interactive Brokers Group, Inc.	29,888	(35,342)	(80,235)	Dec 2025	NM	NM	NM	NA	NM	NM	30.4x	27.0x	23.7x

Average	5.3x	4.8x	3.9x	0.1x	19.0x	13.7x	25.0x	39.5x	23.9x
Median	4.0x	4.1x	3.1x	0.1x	18.9x	14.0x	30.4x	27.1x	23.6x

Source: S&P Capital IQ Pro as of 1st April 2026

Type	Closed Date	Target/Issuer	Buyer/Investor	Target HQ	Deal Value (USD M)	Percent Sought (%)	Final Implied EV (USD M)	Implied Multiples		
								Implied EV/ Revenue	Implied EV/ EBITDA	EqV/ LTM Net Income
M&A	Mar 2025	Binance	MGX Fund	Cayman Islands	2,000.0	NA	NA	NA	NA	NA
M&A	Aug 2025	Deribit FZE	Coinbase	United Arab Emirates	2,862.2	100	2,862.2	NA	NA	NA
M&A	NA	Dunamu Inc.	Naver Financial	South Korea	10,549.7	100	3,864.1	2.9x	3.8x	12.8x
								Median		
								Average		